



form of incentives and developing electronics manufacturing clusters. The question is, how effective are these schemes in increasing local value addition?

The Catch-22 of PLI

To catch up with the success of China and Vietnam, the Indian government introduced the production-linked incentive (PLI) scheme for mobile phones and large-scale electronics manufacturing, with mobile phones being the 'belle of the ball'.

As a part of her Budget 2024 speech, Finance Minister Nirmala Sitharaman announced that mobile phone production in India had increased from 58 million units valued at about ₹189 billion in 2014-2015 to 310 million units valued at over ₹2,750 billion in the last financial year, as a result of various government initiatives, including the phased manufacturing programme. The PLI for IT hardware has benefited companies such as Dell, Optimus Electronics, Dixon, Bhagwati Products, etc. The PLI for the large-scale electronics manufacturing (LSEM) sector has attracted leading global players, including Foxconn, Samsung, Pegatron, Rising Star, and Wistron, while leading domestic companies, including Lava, Micromax, Optimus, United Telelinks Neolyncs, and Padget Electronics, have also participated in this scheme.

Despite the whopping numbers for mobile phone exports, India relies heavily on imports for crucial components. The scheme prioritises assembly of mobile phones over manufacturing the complete-knock-down (CKD) kit in India. In addition, it is no secret that the incentive implies that the government pays all manufacturers in India—irrespective of nationality—6% of a phone's invoice price, coming down to 4% in the fifth year for every incremental unit produced in India.



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—**Sanjeev Keskar, Industry Expert and former Managing Director, Arrow Electronics, India**

This, along with the tax incentives, power, and land subsidies offered by the state governments, amount to a mammoth expenditure on the State's part. However, the question remains—How much value is added to India through this expenditure?

To answer that question, we dive deeper into the pool of numbers. Reports from the Electronics Industries Association of India (ELCINA) show that the import dependency has reduced from 60% to 40%. Out of the total \$120 billion worth of electronics products demand, almost \$80 billion was domestically manufactured, while \$40 billion were finished goods imports in 2022.

Wonderful news, isn't it? However, what most reports fail to mention is that out of the \$80 billion of products that have been domestically manufactured, only 15% of the total electronics used has been locally manufactured. So, eventually, India earns approximately \$12 billion in an electronics market worth \$120 billion. This is because the subsidy is paid only for finishing the phone in India, not on how much value manufacturing in India adds.

Industry expert and former Arrow Electronics, India, Managing Director Sanjeev Keskar explains this further. He says, "If we import CKD kits of mobile phones and only perform SMT assembly in India, it results in less than 10% of value recognition, and to achieve even that, we are offering a 4% PLI incentive. In the long run, this strategy is not viable. Instead, we must shift our focus to 'higher value addition,' which can be accomplished by developing a local component

manufacturing ecosystem contributing 40% of the value, and investing in local IP and technology development, which adds another 30%."

"We possess exceptional talent in semiconductor chip VLSI and embedded electronics design. However, much of this talent is employed in captive design centres of global companies or design services firms. While we secure jobs, we often miss out on the intellectual property (IP) value they create. Therefore, it is imperative to prioritise the success of Indian startups in chip and embedded electronics design in conjunction with developing a robust local component ecosystem. Relying solely on manufacturing CKD kits would prove disastrous in the long run," Keskar says.

Weighing in the components

The proposed timeline for achieving the \$300 billion target is the financial year 2026—with the current rate of domestic value addition, 15-20% for mobile phones and 25-30% for other electronic components. These numbers currently fall short of the target of 35-40% and 45-50% set by the PLI scheme for mobile phones and electronic components.

Even though electronics exports and domestic consumption has increased by 14% over the last six years, data from ELCINA shows that the Indian component industry continues to face direct and indirect opportunity losses. The report collated data from the Ministry of Electronics and Information Technology (MeitY) and ELCINA's estimates, showing that \$121 billion worth of electronics equipment was made in India in